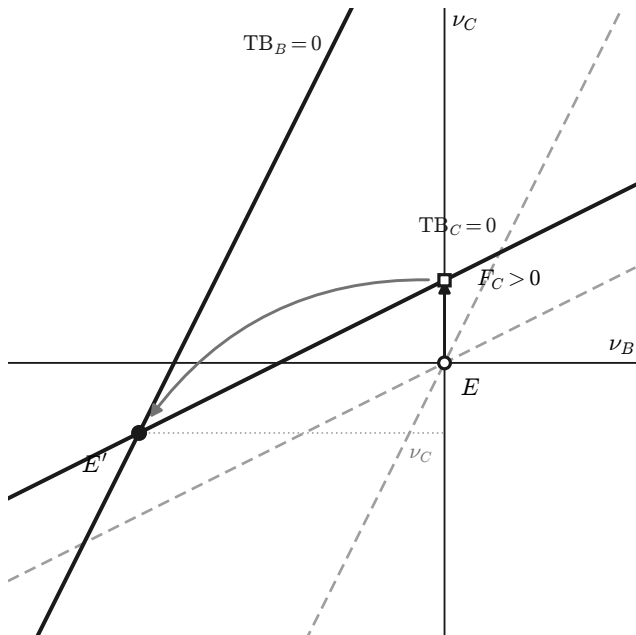
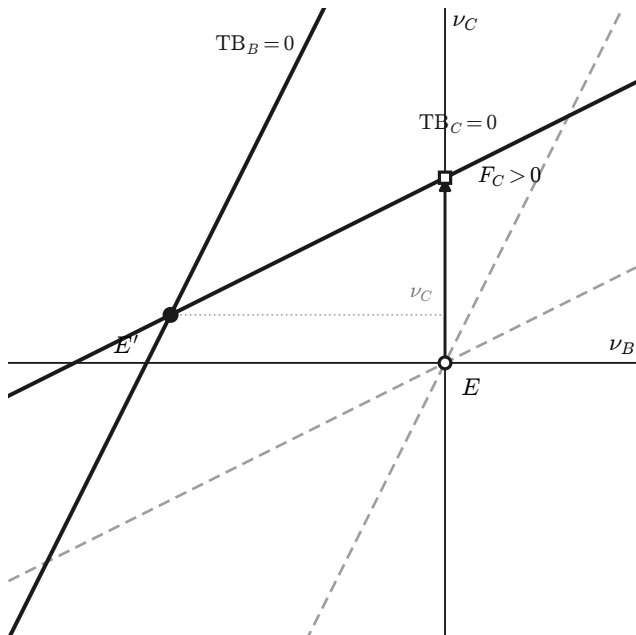


(a) $\rho_1^* < \rho < 3\rho_1^*$: $\nu_C < 0$ although $F_C > 0$



(b) $\rho > 3\rho_1^*$: bilateral reversal, $\nu_C > 0$



dashed: loci at $d\tau=0$; solid: loci after the tariff